CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E90A26DB1
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Cynthia Sandherr <cynthia.sandherr@enron.com>
Sent: Wed, 31 May 2000 02:39:00 -0700 (PDT)
To: Steven J Kean <steven.kean@enron.com>
Cc: dwatkiss@bracepatt.com, Richard Shapiro <richard.shapiro@enron.com>, Joe Hillings <joe.hillings@enron.com>, Joe Hartsoe <joe.hartsoe@enron.com>, Sarah Novosel <sarah.novosel@enron.com>
Subject: Re: MidAmerican RTO drafting re: Alliance Language

Steve: the ACE language has been modified somewhat from the original form which you have indeed seen before but not enough modification so as to correspond to FERC Order 2000. The question being put is what amendments would be necessary to the ACE language to satisfy Enron's needs given the reluctance of ACE to either accept 1.) generic language so the Order prevails, nor to accept 2.) exact specific language to detail precisely Order 2000. Are there items in 2000 we could give up in the legislative language? Otherwise, ACE believes due to their support from Commissioner Hubert and the general political weakness of FERC, that their existing language has the votes in Committee to in effect overturn portions of Order 2000. ACE's willingness to accept any changes to their language has resulted from our overall effective strategy. However, the question now is what precisely do we ask for and what is the order of importance of our requests? Many thanks.

Steven J Kean@EES
05/31/2000 09:22 AM
To: Cynthia Sandherr/Corp/Enron@ENRON
cc:

Subject: Re: MidAmerican RTO drafting re: Alliance Language

I replied to this before, I think. there was amemo like this one that Watkiss replied to. Is this new language?

Cynthia Sandherr@ENRON
05/30/2000 03:03 PM

To: dwatkiss@bracepatt.com
cc: awenner@velaw.com, Steven J Kean/HOU/EES@EES, Richard Shapiro/HOU/EES@EES, Joe Hartsoe/Corp/Enron@ENRON, Sarah Novosel/Corp/Enron@ENRON, Joe Hillings/Corp/Enron@ENRON
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The message below is from the MidAmerican group:
I have attached the ACE Group's transmission language. At the meeting yesterday, it became clear that the very generic language we have discussed was not going to work for enough folks. Cynthia Sandherr suggested an alternative approach that would be more detailed, but would track Order No. 2000 as closely as possible.

Cynthia Stinger volunteered that Randy Davis had put much of the standards section of Order 2000 in legislative language, but also added a number of issues that are not in 2000. Obviously, some of these provisions (and possibly some that are in Order 2000) will be unacceptable to some in the group. When you have an opportunity, please take a look at this and give me your best objective judgment on what here is acceptable and what is not for your organization.

Obviously, we would have to add at the beginning the language that was in the original proposed draft language on RTOs re: 1) "adopt rules requiring the formation of regional transmission organizations and prescribing the minimum characteristics and functions of such organizations," and 2) "order a transmitting utility operating within a region to participate in a regional transmission organization to remedy undue discrimination or anti-competitive effects" that is already agreed to.

I will be leaving town at about 3:00 PM tomorrow, but would like to get ideas on schedules for activity. Please try to forward to me your first impressions on the RTO language before then. I will forward comments to Betsy and Brent Gale in my company to see if we can have a draft ready when I return on Thursday morning.

I would like to hold another meeting of the group on Friday morning of next week, or alternatively, we could meet over lunch on Friday. Please let me know of any preferences in that regard.

Second, I would like to hold a joint meeting with the other stakeholder group on Monday at 11:00. I will confirm this next week. The purpose of the meeting will be to go over legislative drafts on market power and RTOs (hopefully they will be ready).

Tuesday, June 6th, I think we should devote the full day to lobbying Senate offices (Thursday and Friday of the previous week are possibilities also).

Thursday, June 8th, I will set up meetings with key House offices.

I know everyone will not be able to do all of these, but as always if you

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can do a meeting, it's a great help.

Please get back to me with comments on the RTO language as soon as possible.

Thanks,

Tom

-----Original Message-----
From: cstinger@gpu.com [mailto:cstinger@gpu.com]
Sent: Thursday, May 25, 2000 1:35 PM
To: Bonner, Thomas D
Cc: jcohen@gpu.com; jloveng@gpu.com; rdavis@sdsatty.com
Subject: Alliance Language

Tom,

Attached is the ACE language on RTOs.

Cynthia

(See attached file: Trans201.doc)

- Trans201.doc

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